Discussion of "Borrowers in the Shadows: The Promise and Pitfalls of Alternative Credit Data"

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RICE | BUSINESS

What is alternative credit data ("Alt. data")?

All 3 credit reporting agencies have alt. data products:

- Experian **Clarity**
- Equifax **DataX**
- TransUnion **FactorTrust**

Covers **"alternative financial services"**, not in traditional credit report

- Online payday and installment loans, auto title loans, rent-to-own

My understanding of alt. data (caveat: I've not worked with them):

- Limited performance data **<- may explain why limited information beyond hit rate**
- Data coverage / quality substantially varies over time

What is the potential value of alt. data?

Lender's prior:

Consumer **with no credit information** (or thin file, short history) is **high credit risk**

Alt. data is way for **lenders** to observe "shadow debt" (e.g., Argyle, Iverson, Nadauld, & Palmer, 2021) to **update priors on credit risk**

Potentially enabling more efficient lending

(expand lending, better price risk)

- ➡ **Applicants who would otherwise be rejected are riskier**, so higher auto loan interest rates
- ➡ **Probably efficient lending**, because hard to live in much of the U.S. without an auto

This Paper:
When lenders start using alt. data, how does this affect credit supply?

Data

- Loan origination data for all auto loans by 6 U.S. subprime auto lenders, 2014 to 2018.
- Traditional credit score (VantageScore) at loan application (& 2022)
- **“Hit”** indicator if in alternative credit data (**“alt. data”**)
- Alternative credit scores derived from alt. data
- Dates lenders adopt alt. data (+ loan applications post-lender adoption)

Methodologies

- **OLS & ML** for predicting auto loan delinquency and interest rates
- **Difference-in-differences** exploiting variation in timing of alt. data adoption → auto loan outcomes

When lenders start using alt. data, how does this affect credit supply?

Key Findings

- Alt. data predicts delinquency, beyond traditional credit scores

Auto lenders adoption leads to…

- Consumers *in* alt. data (“**Hits**”) interest rates ↑
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(Presumably) lender profits ↑

How many consumers better-off vs. worse-off?

Paper argues ≈ all “Hits” worse-off

Extensive Margin

“Use of alternative credit data **limits credit availability** and **raises traditional loan costs** for most users of alternative financial services”

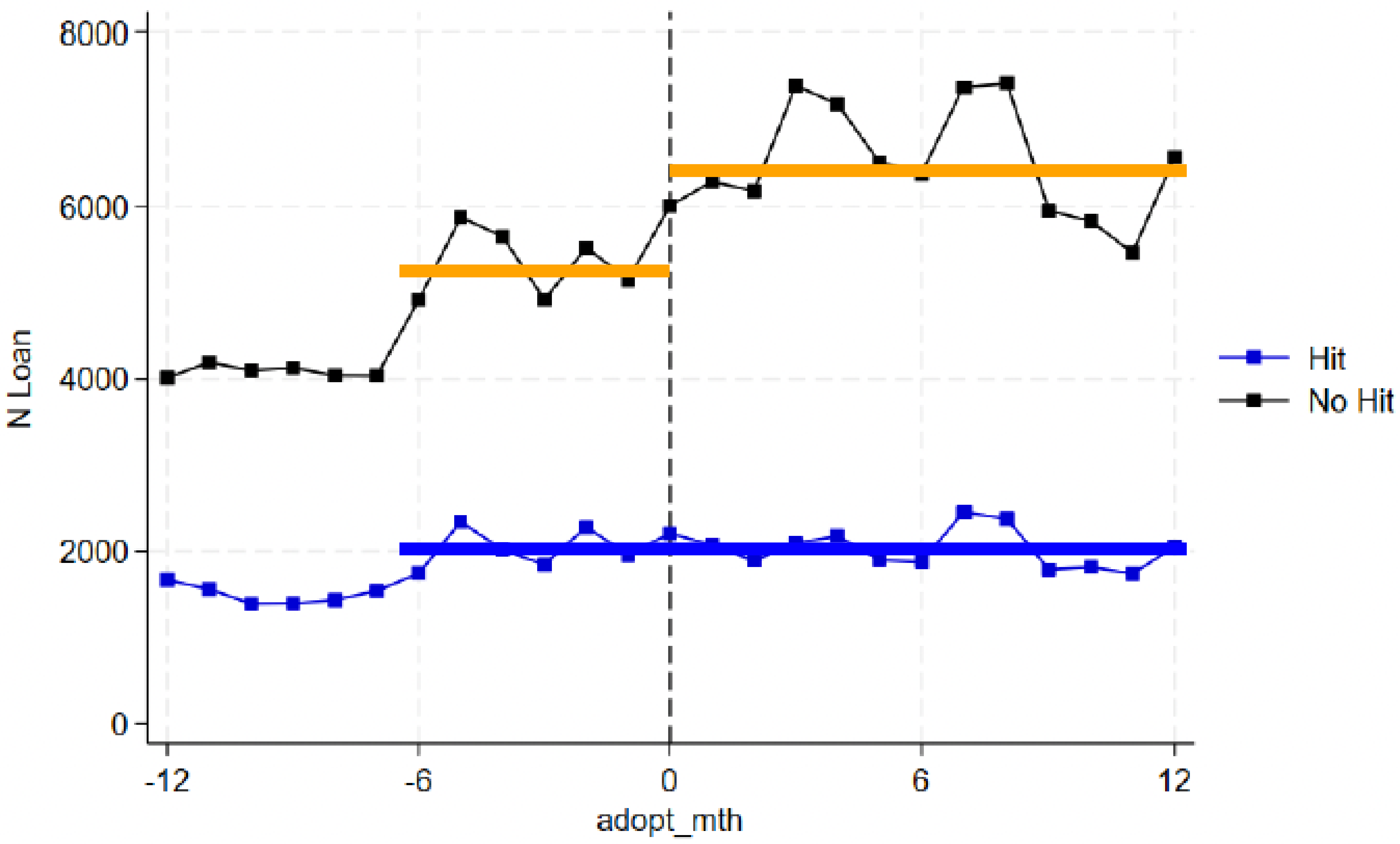
- I’m not convinced (yet!)
- Many potential margins of adjustment:
  - any loan, loan size, loan duration, loan interest rate, (car quality)

Large lending volume ⬆

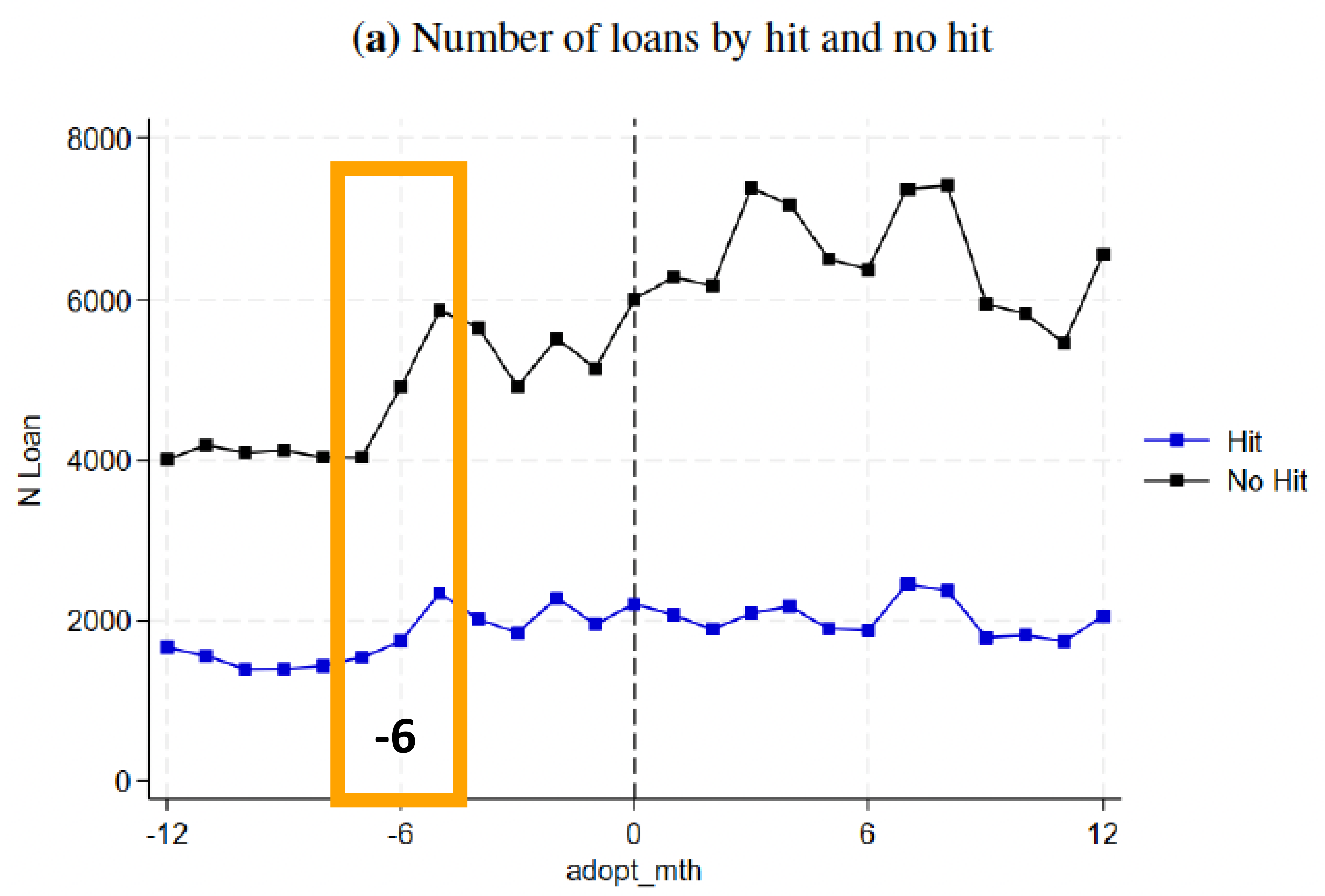
~5,000 to 6,000+ loans per month to “No Hit” Consumers

No decline in lending to “Hit” Consumers

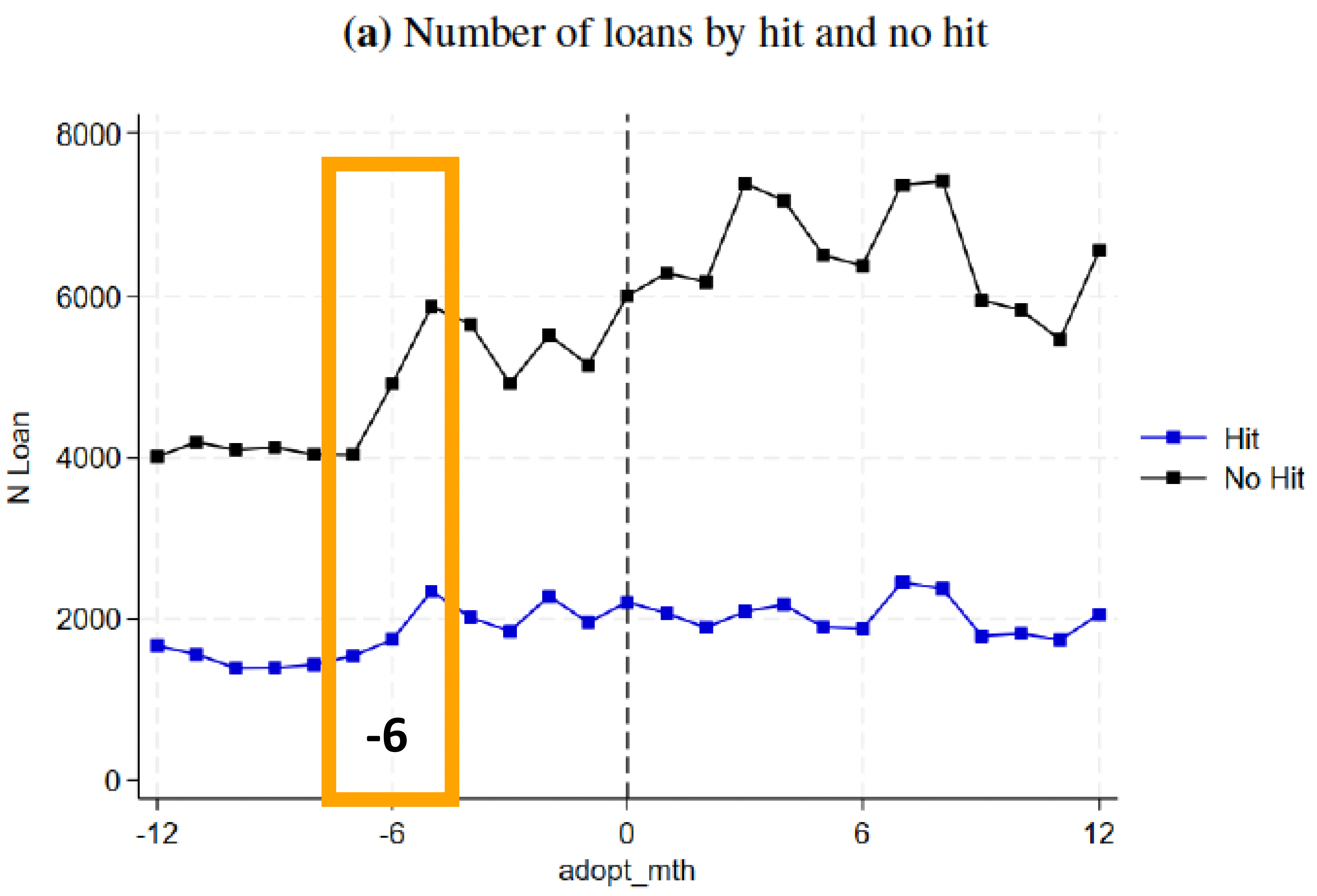
(a) Number of loans by hit and no hit



Why large ⬆ in “Hit” & “No Hit” loan volumes at t-6?



Why large ⬆ in "Hit" & "No Hit" loan volumes at t-6? Why stop at t+12? Interest rate results just emerging!



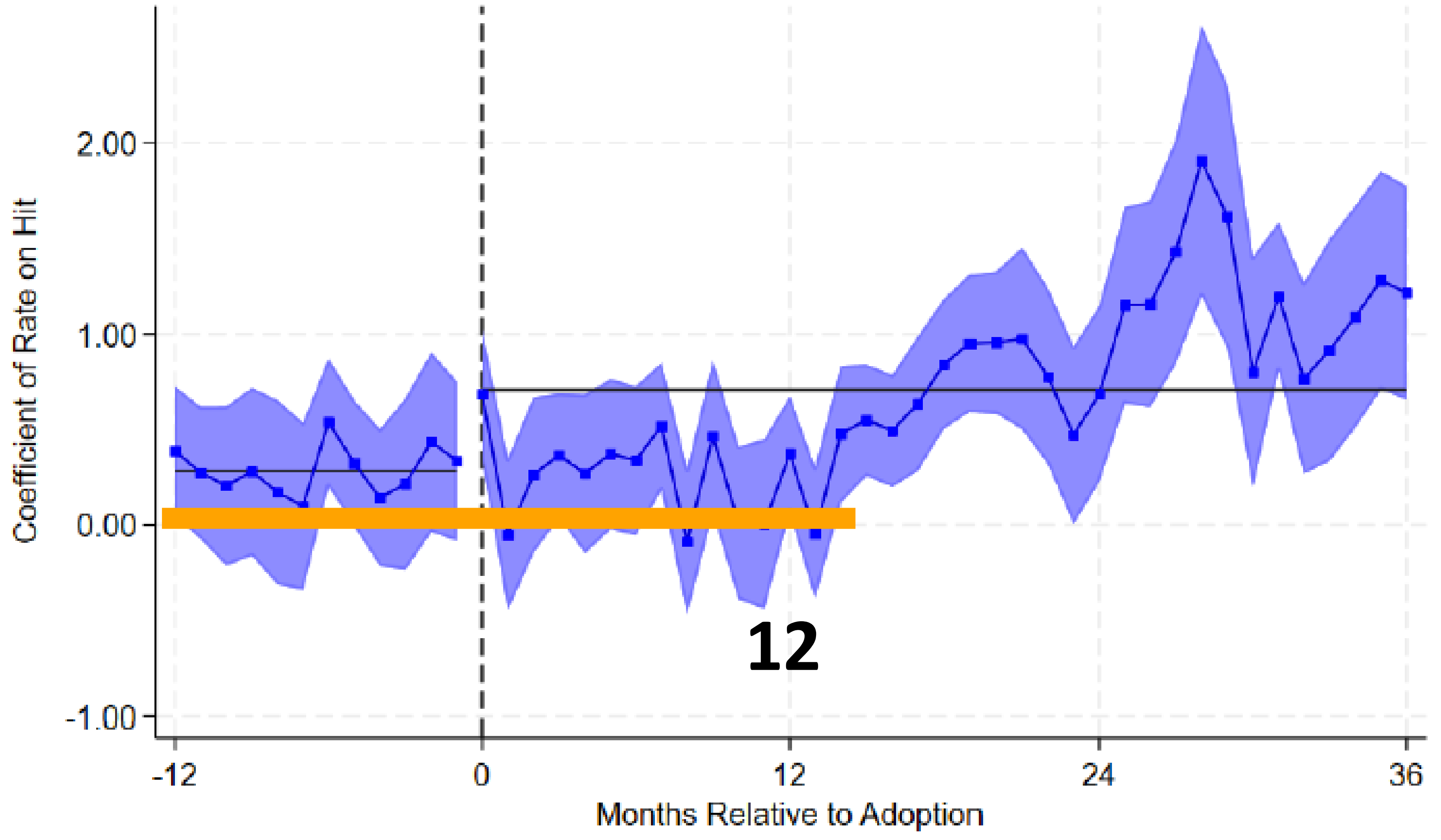


Figure 6. The Effect of Hit on Loan Rates Over Time. This figure plots the coefficients of a

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    - Solvable with credit reporting data
      (although buy here pay here auto loans not reported, e.g., Clarkberg, Gardner, Low, 2021)

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3. Does alt. data sharing **produce longer-term broader benefits**?
    - E.g., better loan terms / take out mortgages / faster credit score progression
    - Solvable with credit reporting data

Credit Information Market Design

What information is valuable for credit scoring?

Credit Scoring Model:

- $\Pr(Y_{t+1} = 1) = f(X'_t \beta)$
- Look for features ($X'_t = [x_{1,t}, x_{2,t}, \ldots]$) that predict default ($Y_{t+1}$)
- A valuable feature is an informative signal to **discriminate consumer types**:
  - Goods (non-defaulters) from bads (defaulters)
- Some features are deemed **unfair** & not allowed to be use (e.g., gender, race)

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- Bankruptcy
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- Shopping around (applying for credit, closing old account)
- Moving address (UK credit scores not US FICO/VantageScore)
  -> Potentially deterring economically beneficial behaviors (searching/switching to better products, moving to opportunity)

Negative signals are valuable to lenders but there may be better market designs possible

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- Do not increase credit scores (Burke, Jamison, Karlan, Mihaly, & Zinman, 2023 RFS)
  - But they could do if scores recognized credit builder loans as a ‘different’ loan type

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- If you put BNPL into FICO, scores would ⬇️
- FICO & VantageScore are adjusting models to account for BNPL being ‘different’
- BNPL lenders starting to report some loans to some bureaus (not in scores)

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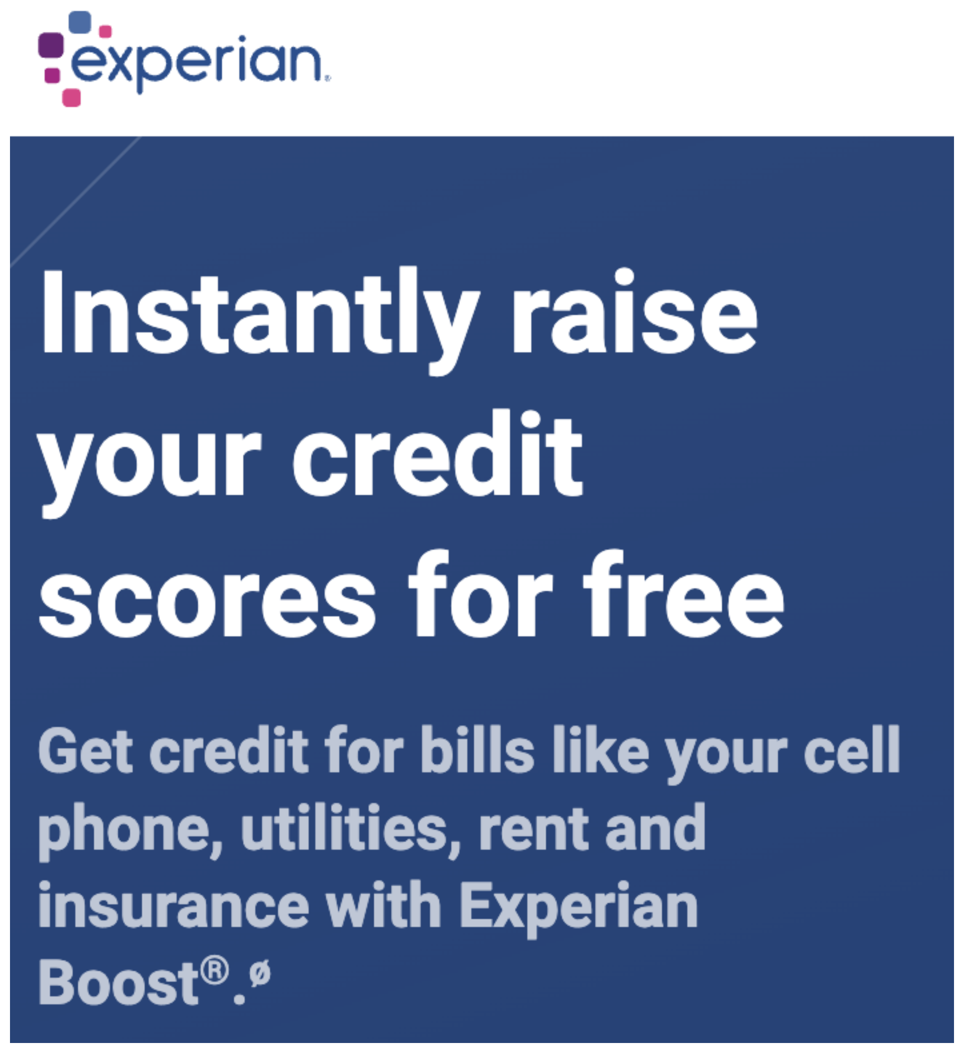
#3: Experian Boost

- Consumers opt-in to select data to add
- By design, adding data cannot reduce Boost credit score



Thank You!
"No sleep, no sleep until I'm done with finding the answer"
(The Rasmus, 2003, In The Shadows)

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